

Paper LBO

	Forecast Period					
<i>P&L (\$ in million)</i>	2022	2023	2024	2025	2026	2027
Revenue	3,850	4,120	4,408	4,716	5,047	5,400
Cogs	-1,230	-1,234	-1,320	-1,412	-1,511	-1,617
Gross Profit	2,620	2,886	3,088	3,304	3,535	3,783
Operating expenses	-890	-870	-931	-996	-1,066	-1,140
EBITDA	1,730	2,016	2,157	2,308	2,470	2,642
D&A	-300	-320	-320	-320	-320	-320
EBIT	1,430	1,696	1,837	1,988	2,150	2,322
Interest expenses	-250	-683	-632	-569	-494	-406
EBT	1,180	1,013	1,205	1,419	1,655	1,916
Taxes	-236	-203	-241	-284	-331	-383
Net Income	944	810	964	1,135	1,324	1,533
KPIs						
Revenue growth %	n.a.	7%	7%	7%	7%	7%
Cogs %	-32%	-30%	-30%	-30%	-30%	-30%
Opex %	-23%	-21%	-21%	-21%	-21%	-21%
EBITDA %	45%	45%	45%	45%	45%	45%
Cash flow (\$ in million)						
Net Income	944	810	964	1,135	1,324	1,533
Add-back D&A	300	320	320	320	320	320
Change in Working Capital	-50	41	44	47	50	54
CAPEX	-300	-320	-320	-320	-320	-320
Free cash flow	894	851	1,008	1,182	1,375	1,587
Debt Schedule						
Term A Outstanding	5,190	4,790	4,390	3,990	3,590	3,190
Term B Outstanding	6,055	5,604	4,996	4,213	3,239	2,052
Term A Interest Expense		-260	-240	-220	-200	-180
Term B Interest Expense		-424	-392	-350	-295	-227
Term A Repaid		400	400	400	400	400
Term B Repaid		451	608	782	975	1,187
Debt Outstanding (end of 2027)						
Term A	3,190					
Term B	2,052					
EV exit	22,405					
Net Debt	5,242					
Equity exit	17,163					
Investor cash flow		-3,424	0	0	0	17,163
IRR	49.6%					

Cash-on-cash 5.0

Sensitivity analysis:-

	8.5	8	7.5	7.2	6.8	6.5
7%	50%	47%	44%	42%	39%	37%
6%	47%	44%	41%	39%	36%	33%
5%	44%	41%	37%	35%	32%	30%
4%	41%	37%	34%	32%	29%	27%
3%	37%	34%	31%	29%	25%	23%

Company Data (\$ in million)

Share price	5.7
Shares outstanding	1,300
Market Cap	7,345
Net Debt	5,120
Tax rate	20%

EBITDA Multiple

Term A	3.0 x
Term B	3.5 x

Interest rate

Term A	5%
Term B	7%

Term A	5,190
Term B	6,055

Debt Capacity 11,245

Acquisition premium	30%
Acquisition price	9,549
EV at Acquisition	14,669
EV / EBITDA Multiple	8.5
Equity needed	3,424

Debt Covenants

Dividends not to be distributed before the end of 2027
Minimum payment for Term A is \$400m per year

Sources &Uses of Funds

Sources of Funds

Excess cash	-
Senior note	40,000
Term A	60,000
Term B	60,000
Common equity	43,519

Total	2,03,519
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Uses of Funds

Acquisition price	1,87,500
Refinance existing debt	8,532
Fees & espenses	7,488

Total	2,03,519
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Valuation

Current ABC share price	150
Acquisition premium	25%
Price per share at transaction	187.5
Fully diluted shares outstanding	1000000
Equity at transaction	1,87,500
Net Debt	(289)
Enterprise Value	1,87,211
EBITDA	14,330
EV/EBITDA entry multiple	13

Debt Schedule

LIBOR curve	1.82%	0.30%	1.10%		2.00%	2.50%	2.50%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%
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Repayment Schedule	1	2	3	4	5	6	7	8	9	10	Rep. Schedule	Bullet Year
Senior note	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	100.00%	0.00%	0.00%	0%	7
Term A	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	10.00%	20.00%	0.00%	10%	8
Term B	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	5.00%	55.00%	5%	9

Cash Flow

Selected case

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\$ 000s	2020A	2021A	2022A	2023F	2024F	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F
Net income	17,837	7,521	9,118	8,017	9,553	11,979	13,485	15,669	18,011	19,953	21,897	25,606	27,559
Plus:D&A	1,338	1,510	1,870	4,383	4,849	5,370	5,939	6,558	7,233	7,956	8,586	9,237	9,964
Less:Investments in working capital		(2,710)	2,830	(2,338)	(1,382)	(1,547)	(1,300)	(1,417)	(1,544)	(1,309)	(1,401)	(1,285)	(1,135)
Other current assets		(706)	484	(1,514)	(1,696)	(1,899)	(1,595)	(1,739)	(1,896)	(1,607)	(1,719)	(1,577)	(1,393)
Other current liabilities		34	(1,021)	700	784	879	738	804	877	743	795	730	644
Other noncurrent assets		7,518	(152)	(1,590)	(1,780)	(1,994)	(1,675)	(1,826)	(1,990)	(1,687)	(1,805)	(1,656)	(1,463)
Other noncurrent liabilities		(1,132)	935	1,697	1,901	2,129	1,789	1,950	2,125	1,802	1,928	1,768	1,562
Operating Cash Flow	19,175	12,036	14,064	9,356	12,230	14,916	17,380	20,000	22,816	25,850	28,280	32,822	35,738
Capex		(3,653)	(3,711)	(4,157)	(4,655)	(5,214)	(5,683)	(6,195)	(6,752)	(7,225)	(7,731)	(8,195)	(8,604)
Investing Cash Flow	-	(3,653)	(3,711)	(4,157)	(4,655)	(5,214)	(5,683)	(6,195)	(6,752)	(7,225)	(7,731)	(8,195)	(8,604)
Revolver				2,980	1,425	-	-	-	-	-	3,558	-	-
Debt issuance				-	-	-	-	-	-	-	-	-	-
Debt repayment				(9,000)	(9,000)	(9,000)	(9,000)	(9,000)	(9,000)	(9,000)	(49,000)	(15,000)	(33,000)
Equity issuance				-	-	-	-	-	-	-	-	-	-
Equity repurchase				-	-	-	-	-	-	-	-	-	-
Dividends				-	-	-	-	-	-	-	-	-	-
Financing Cash Flow	-	-	-	(6,020)	(7,575)	(9,000)	(9,000)	(9,000)	(9,000)	(9,000)	(45,442)	(15,000)	(33,000)
Net Cash Flow	19,175	8,383	10,353	(820)	-	702	2,697	4,805	7,064	9,625	(24,893)	9,628	(5,866)